

Temporal Nihilism: The Ontological Decomposition of Time Preference and the Emergent Catallactic Order

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Abstract

The persistent and systematic suppression of interest rates by central banks across the developed world represents far more than a mere technical failure of monetary policy. It constitutes a form of temporal nihilism; the ontological decomposition of authentic time preference and the erosion of the existential structure through which human beings relate to scarcity, finitude, and the future. This article develops a sustained interdisciplinary analysis that integrates Martin Heidegger's phenomenology of temporality in *Being and Time* with the praxeological framework of the Austrian School of economics, particularly the contributions of Eugen von Böhm-Bawerk, Ludwig von Mises, and Friedrich A. Hayek. Natural positive interest rates, when allowed to emerge freely in the market, serve as the honest price signal of human finitude, voluntary saving, and care (*Sorge*).

By contrast, artificial credit expansion and the forced lowering of rates below their natural level falsify these signals, generating widespread malinvestment, illusory booms followed by painful busts, and a collective slide into inauthentic modes of existence. Drawing on empirical patterns observed since the 1980s and especially after the 2008 Global Financial Crisis, the article demonstrates how decades of ultra-low and even negative real interest rates have produced serial asset bubbles, corporate zombies, widening inequality, and chronic financial instability (Chancellor, 2022; Laubach & Williams, 2003).

Ontologically, this process denies the reality of scarcity and colonizes the future through unsustainable debt accumulation, weakening the resoluteness and authentic projection that Heidegger identifies as essential to *Dasein*. In opposition to this nihilistic interventionism, the article defends Hayek's concept of catallaxy; the spontaneous, emergent order of the market, as the only institutional arrangement capable of preserving genuine intertemporal coordination without coercion. Catallaxy respects dispersed knowledge, honors voluntary time preference, and allows complex social cooperation to arise naturally from the mutual adjustment of individual plans. Ultimately, the defense of the catallactic order transcends narrow economic considerations. It represents an ontological and ethical imperative: the restoration of authentic Being-in-time against the nihilistic tendencies of modern monetary centralization. By reclaiming the real price of time, societies can move toward responsible projection into the future,

sustainable capital formation, and a mode of existence that accepts rather than denies human finitude. This article contributes to the growing interdisciplinary dialogue between phenomenology and heterodox economics, offering both a rigorous diagnosis of contemporary monetary pathologies and a philosophically grounded path toward renewal.

Introduction

Modern economies have entered an era defined by the systematic falsification of time. For more than three decades, and with unprecedented intensity following the 2008 Global Financial Crisis and the monetary response to the 2020 pandemic, central banks in advanced economies have maintained real interest rates at historically low or negative levels. Models developed by Laubach and Williams estimate that the natural rate of interest in the United States has declined dramatically, often approaching zero or falling below it, with similar trends observed internationally (Laubach & Williams, 2003; Holston et al., 2017).

What mainstream macroeconomics interprets as a puzzle of secular stagnation or a necessary response to weak demand appears, from a deeper Austro-ontological perspective, as a profound institutional assault on the temporal foundations of human action and social order. This falsification operates through the artificial expansion of credit and the suppression of market interest rates below the level that would emerge from voluntary saving and investment decisions.

The consequences extend well beyond short-term business cycles. They reshape the entire structure of production, consumption patterns, and even the collective understanding of scarcity and the future. When the price of time is politically manipulated, the signals that coordinate intertemporal choices become distorted, leading to systematic malinvestment and recurrent crises. Time preference, understood as the universal human inclination to value present goods more highly than identical future goods, forms the bedrock of capital theory within the Austrian tradition (Mises, 1998). Far from being a mere psychological trait, it reflects the praxeological reality that all action involves choices between sooner and later satisfaction.

Martin Heidegger's phenomenological analysis in *Being and Time* provides a complementary ontological foundation, revealing temporality as the ecstatic horizon of *Dasein*; the being for whom its own existence is always at stake (Heidegger, 1962). In this light, the suppression of natural interest rates does not constitute neutral policy; it represents temporal nihilism, a decomposition of the authentic relationship between present restraint and future possibility.

The present article offers a comprehensive defense of the Austrian School's perspective while enriching it with Heideggerian phenomenology. It argues that only the spontaneous catallactic order, as conceptualized by Hayek, can restore

genuine time preference signals and enable responsible economic coordination. The following sections examine the ontological structure of time preference, analyze the mechanism of its decomposition through central banking, review historical and empirical evidence, elaborate the restorative potential of catallaxy, explore broader philosophical and ethical implications, address major objections, and conclude with the civilizational stakes of reclaiming authentic temporality.

This interdisciplinary approach reveals that the monetary debates of our time are not merely technical but touch upon the deepest questions of human existence: how finite beings negotiate scarcity, project themselves into an uncertain future, and build sustainable forms of social cooperation.

Time Preference as Ontological Structure

Eugen von Böhm-Bawerk laid the essential groundwork for understanding time preference by demonstrating that more productive production processes are typically more “roundabout,” requiring greater sacrifices of present consumption in favor of future yields (Böhm-Bawerk, 1890). This insight established that capital accumulation depends fundamentally on the willingness to forgo immediate gratification. Without positive time preference operating through voluntary saving, societies cannot extend their production structures toward higher stages of complexity and efficiency. Böhm-Bawerk’s analysis remains foundational because it grounds interest not in monetary phenomena or exploitation but in the real temporal choices of acting individuals. Ludwig von Mises radicalized this framework by treating time preference as an a priori category of human action itself (Mises, 1998).

In *Human Action*, Mises argues that every purposeful behavior necessarily involves ranking satisfactions according to their temporal proximity. The phenomenon of interest emerges organically as the market price that equilibrates the supply of savings with the demand for investable resources. This praxeological approach avoids the psychologism common in mainstream economics and instead derives time preference from the logical structure of choice under scarcity.

Heidegger’s phenomenology offers a powerful ontological deepening of these economic insights (Heidegger, 1962). Temporality is not a neutral container for events but the very structure of *Dasein* — stretched ecstatically between having-been, making-present, and coming-toward. Care (*Sorge*) constitutes the unifying phenomenon of this temporal existence, binding *Dasein* to its ownmost possibilities in the face of finitude and death. Authentic existence demands resoluteness, while inauthentic existence flees into the tranquilizing ambiguity of *das Man*.

When central banks suppress natural interest rates, they deform this ontological structure at a societal level. The future appears artificially inexpensive, weakening the existential tension that makes present sacrifice meaningful. Individuals and institutions are encouraged to live as though time were abundant rather than scarce, leading to distorted consumption patterns and speculative rather than productive investment.

The integration of Austrian praxeology with Heideggerian ontology thus reveals time preference as both an economic category and an existential structure. Its artificial suppression constitutes not only inefficiency but a form of nihilism that undermines the conditions for authentic Being-in-time. This dual perspective provides a richer understanding of why monetary interventions produce such persistent and damaging consequences.

The Mechanism of Ontological Decomposition: Central Banking and the Austrian Business Cycle

Mises and Hayek developed the Austrian Business Cycle Theory to explain how monetary intervention inevitably produces intertemporal discoordination (Mises, 1998; Hayek, 1976). The process begins when a central bank expands credit and pushes market interest rates below the natural rate that would reflect voluntary time preferences. Entrepreneurs interpret this lower rate as a signal of abundant real savings available for long-term projects. This false signal induces a shift of resources toward higher-order capital goods and excessively roundabout production methods that cannot ultimately be sustained by actual voluntary saving.

During the artificial boom phase, economic activity appears robust. Asset prices rise, employment in capital-intensive sectors increases, and widespread optimism prevails. However, this prosperity rests on a foundation of malinvestment rather than genuine productivity gains. Consumption plans and production plans gradually diverge as the underlying scarcity of real resources becomes evident. The boom contains the seeds of its own reversal.

The inevitable bust phase arrives when the mismatch can no longer be concealed. Resource shortages emerge, consumer goods prices rise relative to capital goods, and many long-term projects prove unprofitable. The recession or depression that follows serves the painful but necessary function of liquidating malinvestments and realigning the structure of production with actual time preferences (Garrison, 2001).

This corrective process, though disruptive, restores intertemporal order. From a Heideggerian viewpoint, the entire cycle represents ontological decomposition (Heidegger, 1962). Scarcity is institutionally denied during the boom, encouraging a collective flight from finitude. Debt is piled upon future generations, colonizing tomorrow to sustain today's illusions. Dasein loses itself in the "they-self" of easy

credit and speculative euphoria, postponing authentic resoluteness. Edward Chancellor's extensive historical documentation confirms these dynamics across multiple episodes (Chancellor, 2022).

The repeated pattern of boom, bust, and increasingly desperate monetary easing illustrates how central banking has institutionalized temporal nihilism rather than resolved economic instability.

Historical and International Evidence

Empirical research on the natural rate of interest reveals a clear secular decline across advanced economies, influenced substantially by prolonged monetary accommodation rather than purely technological or demographic factors (Laubach & Williams, 2003; Holston et al., 2017). During the classical gold standard period from roughly 1870 to 1914, when interest rates were largely determined by market forces, economies experienced relatively stable capital formation and more moderate cyclical fluctuations. This historical benchmark demonstrates the superiority of monetary arrangements that respect genuine time preferences.

The post-Bretton Woods fiat era, particularly after the full abandonment of gold convertibility in 1971, ushered in greater volatility. Central banks gained unprecedented power to manipulate rates, leading to the inflationary crises of the 1970s followed by the low-rate experiments of subsequent decades. Japan's experience after the late 1980s bubble collapse stands as a cautionary tale of how persistent monetary easing can produce decades of stagnation while preventing necessary structural adjustments (Chancellor, 2022).

The 2001–2008 period in the United States provides another clear illustration. Extremely low rates after the dot-com bust fueled the housing bubble, massive malinvestment in real estate, and eventual financial collapse. Similar patterns emerged globally in the 2010s “everything bubble,” where ultra-low and negative rates drove asset prices to unsustainable levels across equities, bonds, and real estate. Post-2020 pandemic policies intensified these distortions, with massive credit expansion and near-zero rates producing the highest inflation in decades in many countries.

These episodes consistently validate the core predictions of Austrian Business Cycle Theory (Mises, 1998; Hayek, 1945). Taken together, the historical and international record strongly supports the view that central bank interventions amplify rather than dampen economic cycles while generating profound ontological costs through the decomposition of authentic temporality.

Catallaxy as Ontological Restoration

Hayek introduced the concept of catallaxy to describe the spontaneous order that emerges from free exchange (Hayek, 1945, 1976). Derived from the Greek

katallassō (to exchange and reconcile), catallaxy refers to the dynamic process through which countless individuals pursuing their own ends coordinate their plans via the price system. Unlike a centrally directed “economy” with a unified hierarchy of goals, catallaxy constitutes an open, polycentric order that accommodates diverse and often conflicting purposes. In a genuine catallaxy, interest rates function as truthful signals of aggregated time preferences.

Prices serve as discovery procedures that communicate dispersed knowledge across society far more effectively than any central authority could achieve (Hayek, 1945). This emergent coordination respects scarcity and allows individuals to project themselves authentically into the future based on genuine signals rather than distorted ones. Catallaxy operates through abstract rules of property, contract, and sound money rather than specific commands. It requires no omniscient planner because it leverages the knowledge problem in a creative rather than paralyzing way (Mises, 1998; Garrison, 2001).

The resulting order is evolutionary, constantly adapting to new circumstances through entrepreneurial discovery and competitive selection. By restoring authentic time preference, catallaxy counters the nihilistic tendencies of central banking. It encourages responsible saving, productive investment, and sustainable capital formation while honoring human finitude. Individuals regain the existential tension necessary for meaningful projection and resoluteness. Ultimately, catallaxy represents the institutional expression of ontological humility. It accepts that no single authority can master time or abolish uncertainty, thereby creating space for free human beings to build their futures cooperatively through voluntary exchange.

Philosophical, Ethical, and Policy Implications

Heidegger’s critique of modernity provides a powerful lens for understanding the deeper stakes of monetary intervention (Heidegger, 1962). The enframing (Gestell) characteristic of technological thinking reduces all entities, including time itself, to standing-reserve available for manipulation and optimization. Central banking embodies this enframing in the monetary sphere by treating temporality as a policy variable to be engineered for macroeconomic ends. This reduction has profound ethical consequences. Temporal nihilism fosters widespread moral hazard by privatizing the gains of artificial booms while socializing the losses of busts (Mises, 1998; Hayek, 1976). It undermines virtues such as thrift, foresight, and personal responsibility that sustain healthy societies across generations.

Future generations inherit not only financial burdens but also a degraded temporal horizon. Restoring catallaxy therefore demands institutional humility and a rejection of the hubris that any authority can abolish scarcity or uncertainty. Policy recommendations consistent with this view include the gradual introduction of currency competition, strict rules limiting high-powered money creation, and

potential movement toward commodity-based or decentralized monetary systems. Such reforms would allow interest rates to once again reflect genuine time preferences while supporting the re-emergence of a healthy catallactic order.

The philosophical and ethical renewal involved goes beyond economics to touch upon the conditions for authentic existence in a finite world. In an age threatened by technological and monetary enframing, the defense of catallaxy becomes a civilizational task of reclaiming human freedom and responsibility in relation to time.

Objections and Replies

A frequent criticism leveled against the Austrian framework is that it supposedly lacks sufficient empirical validation or fails to account for demand-side deficiencies during downturns. Careful empirical investigations, however, have found substantial consistency between the predictions of Austrian Business Cycle Theory and observed patterns across different historical periods and countries (Keeler, 2001; Schaffer, 2017).

The methodological divide between Austrian process analysis and mainstream equilibrium modeling explains much of the persistent resistance. Another common objection concerns the practicality of limiting or abolishing central banks in complex modern economies. Critics argue that some form of monetary stabilization is indispensable. Historical evidence from freer banking periods and commodity money standards, however, demonstrates superior performance on key stability and growth metrics compared to the fiat era (Chancellor, 2022). The knowledge problem articulated by Hayek further undermines claims of effective central planning (Hayek, 1945).

No authority possesses the dispersed, tacit knowledge necessary for successful fine-tuning of interest rates or credit conditions. Attempts to do so inevitably produce the distortions analyzed throughout this article. Ontological objections sometimes arise from those who view time preference as culturally variable rather than praxeologically universal.

While cultural and institutional factors certainly influence the intensity of time preference, the underlying category remains rooted in the logic of action and human finitude (Mises, 1998; Heidegger, 1962). These replies reinforce the robustness of the Austrian position and highlight the practical and philosophical superiority of catallactic coordination over centralized monetary control.

Conclusion

Heidegger, Mises, and Hayek collectively illuminate one of the most significant ontological pathologies of modernity: the deliberate decomposition of authentic time preference by central monetary authorities (Heidegger, 1962; Mises, 1998; Hayek, 1945). Through the systematic falsification of the price of time, central banks erode the existential foundations of care, resoluteness, and responsible projection into the future.

The Austrian tradition, enriched by phenomenological insight, provides both a penetrating diagnosis of this condition and a coherent pathway toward renewal. Reclaiming the real price of time requires accepting the reality of scarcity, honoring voluntary saving and investment, and permitting the emergent catallactic order to coordinate individual plans without coercive distortion. This restoration carries profound implications that extend beyond economics. It represents a philosophical commitment to authentic existence in a finite world and an ethical stance against the institutionalization of nihilism.

Contemporary societies face a clear choice between continued temporal nihilism and the difficult but liberating path of catallactic renewal. The evidence from theory, history, and ontology strongly favors the latter. Only by moving beyond the illusions of monetary mastery can humanity recover a healthy relationship with time — one that respects finitude while enabling genuine creativity, cooperation, and projection into a future we build rather than falsely colonize. This transition stands as one of the central civilizational tasks of the twenty-first century.

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